ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - INDEX FUTURES - AM TREND

INTRODUCTION AND DISCLAIMER

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This lesson discusses commodities, specifically ICT Index Trading. It is important to view everything discussed as a paper trade idea only.

This is part of the June 2017 ICT Mentorship, focusing on Index Trading Lesson Two: The AM Trend.

When referring to the AM Trend, we consider the traditional overnight London session and the New York AM session. The New York AM session is defined as 9:30 AM to Noon New York time.

- The true day high or low will tend to form between 9:30 AM and 10:30 AM New York time.

- Between the 9:30 AM open and Noon, there is typically a daily trend or price swing, referred to as the AM Trend or morning swing.

The AM Trend can be a continuation of overnight direction or an outright reversal right from the 9:30 AM opening.

- Study many days of intraday price action to understand the consistency of this morning price swing.

- The AM Trend can end at 10:30 AM to 11 AM, but is anticipated to continue up to Noon for the New York lunch hour.

VISUALIZING THE AM TREND (EXAMPLE 1)

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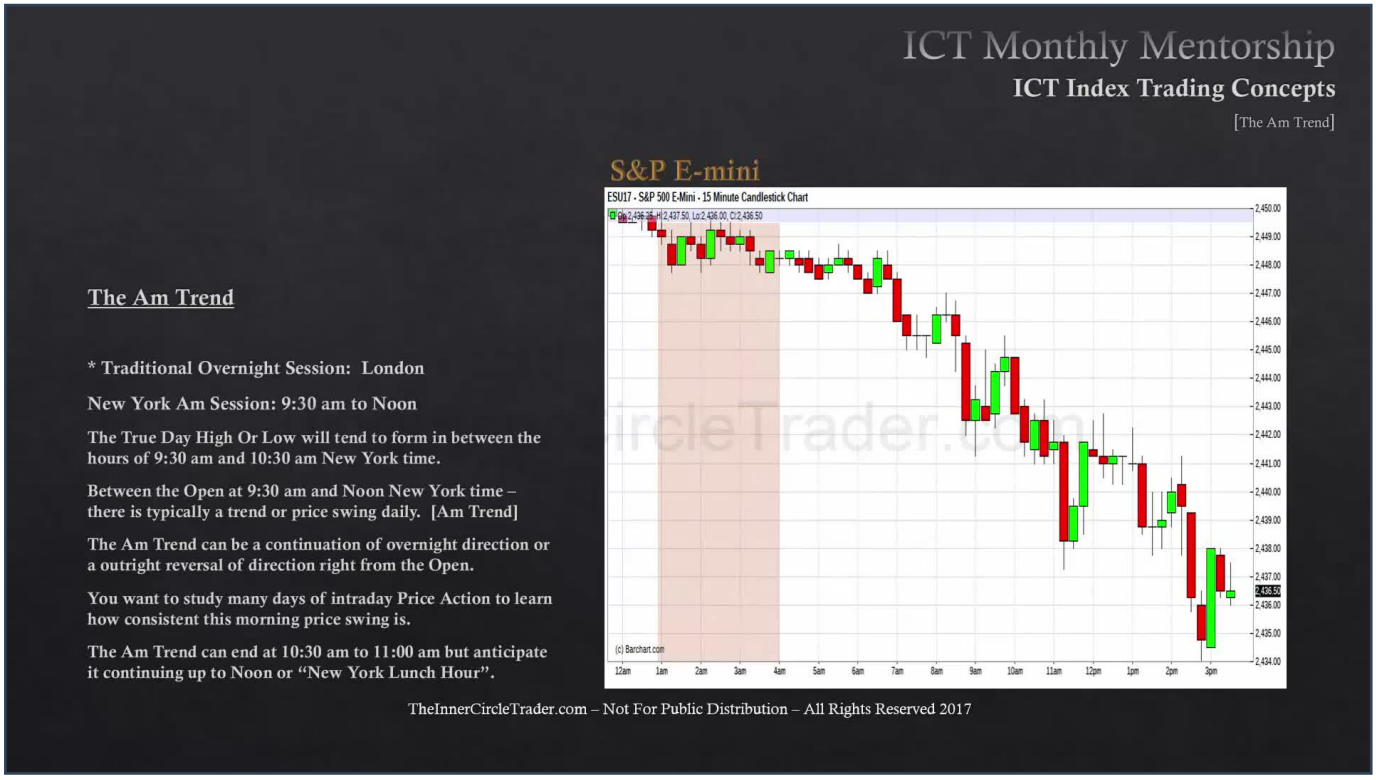


We can classically observe the London session price action overnight. At 9:30 AM, when the equities market opens, we begin looking for indices trades.

- Note: Bar charts typically show Central Time, which is one hour behind New York time. So, 8:30 AM to 11 AM Central Time on BarChart.com is actually 9:30 AM to Noon New York time, defining our New York AM session.

- The AM Trend starts at 9:30 AM (8:30 AM Central) and ends at Noon (11 AM Central).

- In this example, price trades up into a bearish order block during the New York session, forming the price swing for the AM Trend.

I encourage you to examine numerous examples to build your sample size of data. Use BarChart.com and look at various indices:

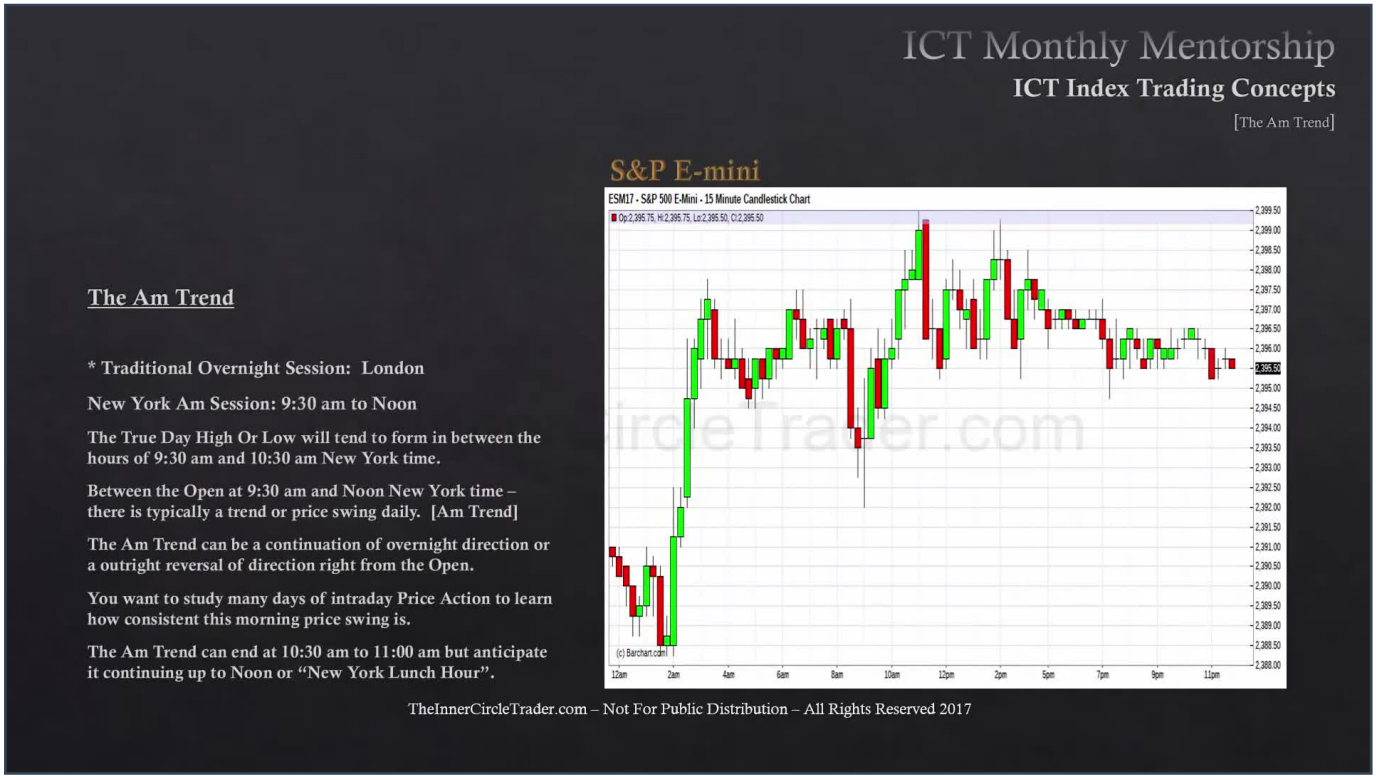
- NASDAQ, Dow, S&P

- Dax and FTSE (for other indices if desired)

- Observe the London session overnight, followed by the New York AM session. In this example, at the beginning of the AM session, price trades down into a previous down-closed candle or bullish order block.

- Price then expands on the upside after running into the bullish order block, with highs forming around 10:30 AM New York time.

AM TREND EXAMPLE: FAIR VALUE GAP AND BULLISH ORDER BLOCK (EXAMPLE 3)



In this example, after the London overnight session, during the New York AM session, price drops down into the range created during London. It fills a fair value gap where only wicks were previously shown; we like to see bodies cross for efficient trading.

- The candle wicks into this area during the New York AM session.

- Price then reprices higher and runs out, moving off a bullish order block later in the New York AM session.

- This action creates the AM Trend, for instance, from 2394.50 up to 2399.50, driven by a bullish order block.

AM TREND EXAMPLE: BULLISH ORDER BLOCK AT MARKET OPEN (EXAMPLE 4)

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Here, again, we see the London session followed by the New York AM session.

- Price trades down at the beginning of the New York AM session at 9:30 AM New York time.

- It trades into a previous down-closed candle, forming a bullish order block.

- Price then moves from the 2352 handle all the way up to almost the 2368 handle, specifically to 2367 big figure.

DOW E-MINI FUTURES EXAMPLE: LONDON BREAKER AND NEW YORK EXPANSION

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Now, let's contrast with the Dow e-mini futures. We observe the London session.

- Price trades down from London, clearing sell-side liquidity (stops) and forming a bullish breaker.

- At the beginning of the New York AM session, we anticipate expansion based on institutional order flow and the presence of the breaker during London.

- The last two up-closed candles during the London session act as the catalyst for selling. Institutions will look to reduce or remove that exposure by going long at the 9:30 AM equities open.

- This expansion move is a precursor identified by analyzing the London session's run on the lows.

NASDAQ E-MINI FUTURES EXAMPLE: TURTLE SOUP PATTERN

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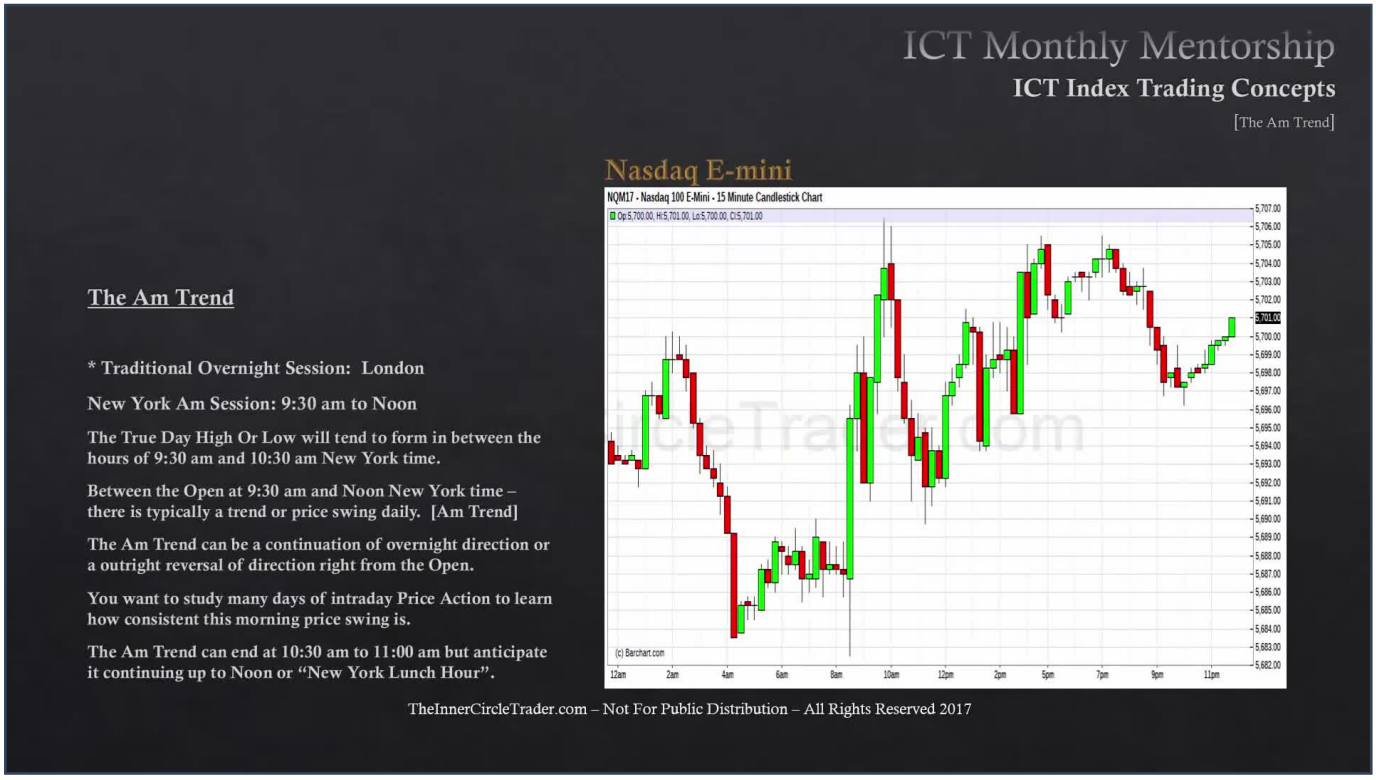
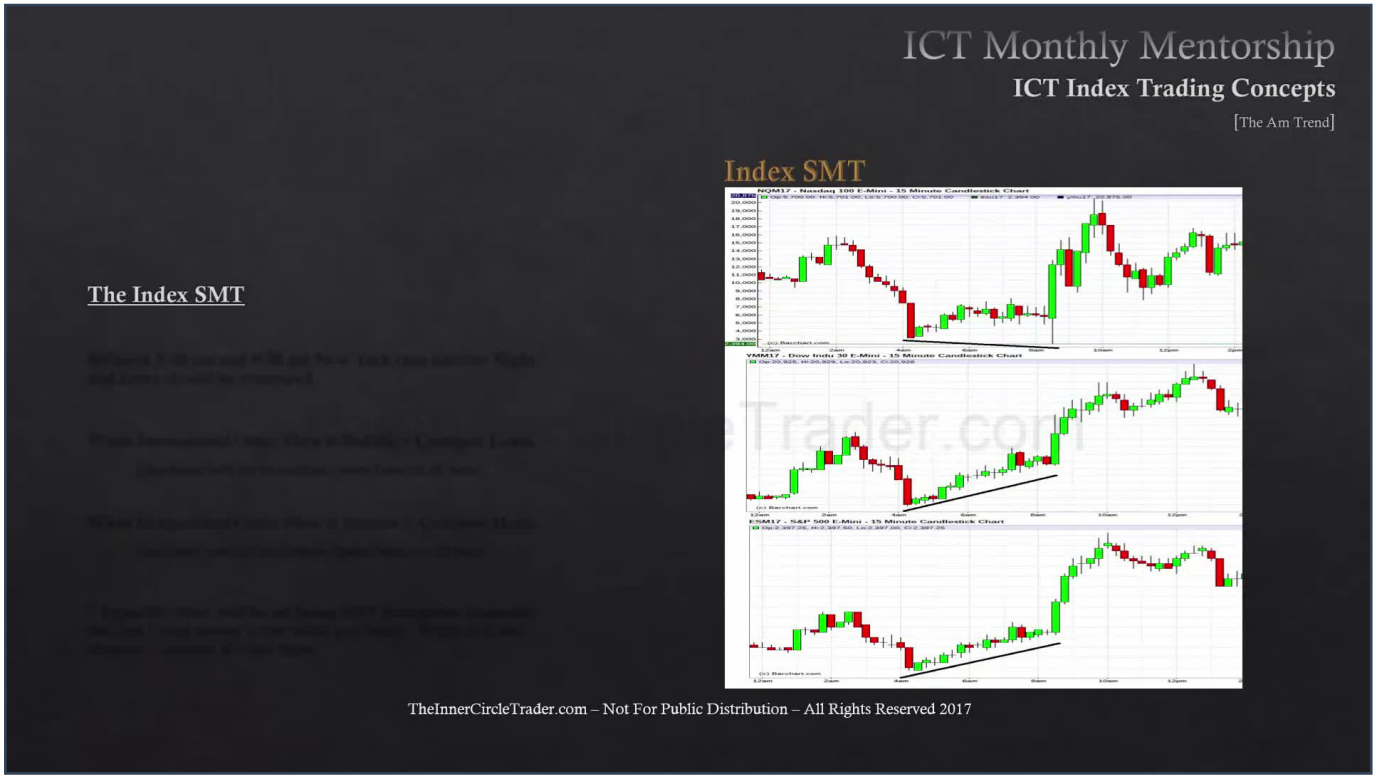


Contrasting with the NASDAQ e-mini:

- We see the London session, followed by the New York AM session.

- At the New York equities open (9:30 AM New York or 8:30 AM Central on BarChart.com), price runs out a previous low, forming a Turtle Soup pattern.



For Index SMT, we compare relative highs and lows between 5 AM and 9:30 AM New York time.

- When institutional order flow is bullish, we compare relative lows across the three indices (NASDAQ, Dow, S&P).

- Typically, one index will fail to confirm a lower low, which is expected if all three were trading lower.

- When one index fails to make a lower low while others do, that is your bullish confirmation for trading the AM trend.

DETAILED EXAMPLE OF BULLISH INDEX SMT DIVERGENCE

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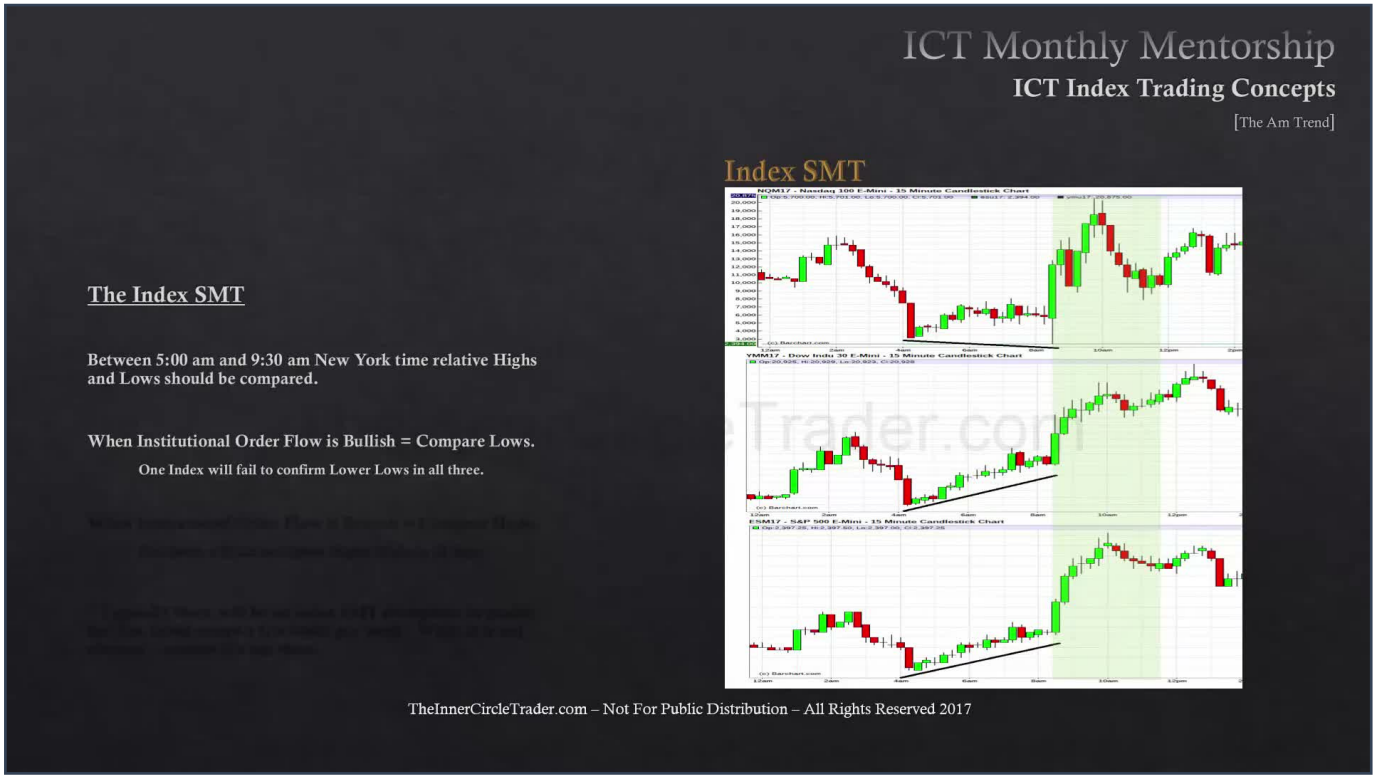

Let's look at a bullish Index SMT example:

- NASDAQ e-mini futures (top chart, 15-minute): From 5 AM to 9:30 AM equities open (4 AM to 8:30 AM Central), it makes a lower low right at the beginning of the New York AM session.

- Dow (middle chart): From 5 AM to 9:30 AM (4 AM to 8:30 AM Central), it creates a higher low.

- S&P e-mini futures (bottom chart): From 5 AM to 9:30 AM (4 AM to 8:30 AM Central), it also makes a higher low.

- This shows massive accumulation under the Dow and S&P 500 futures, while the tech sector (NASDAQ) rallied off of that divergence.

- All indices eventually moved up, as the accumulation pattern took place. The Index SMT provides confirmation of bullish institutional order flow.

BEARISH INDEX SMT AND RELATIVE HIGHS/LOWS

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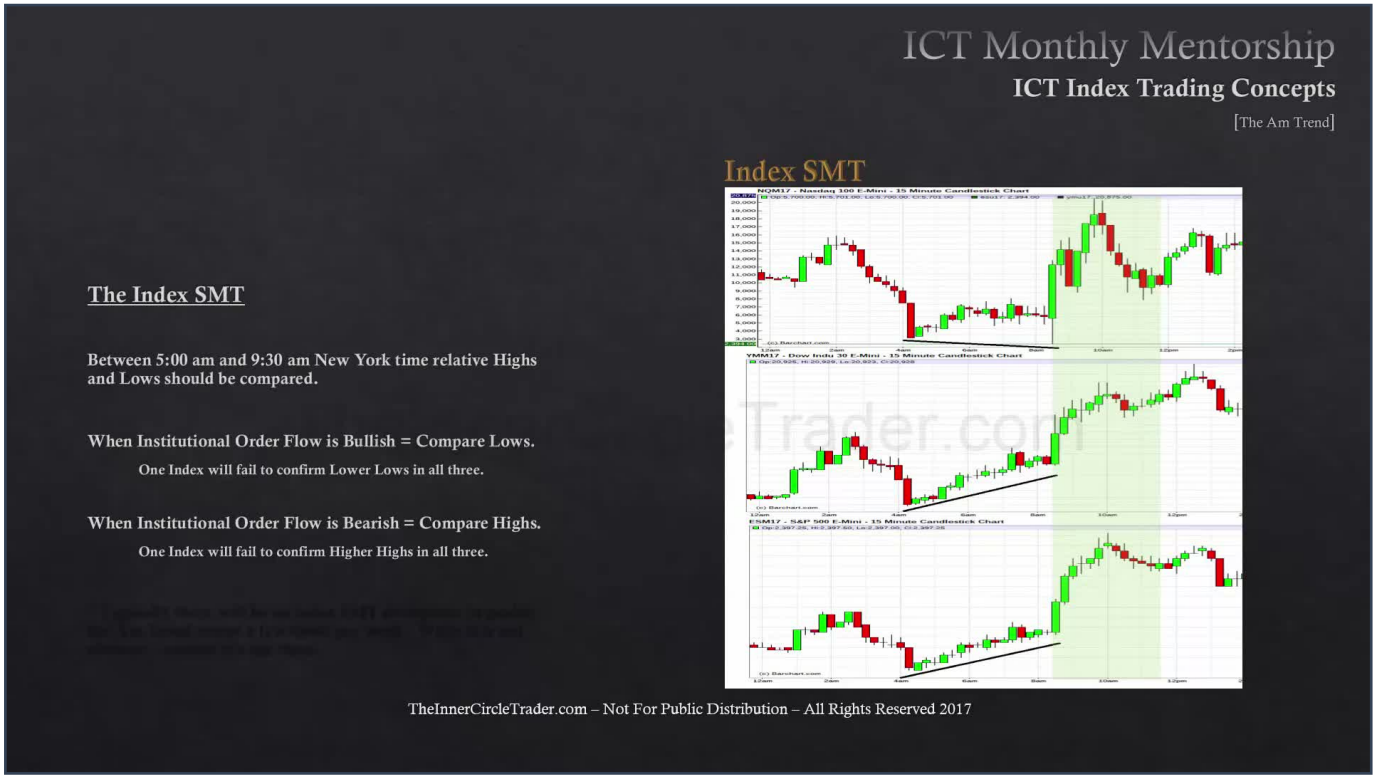

When institutional order flow is bearish, we compare comparable highs between 5 AM and 9:30 AM New York time.

- One index will fail to confirm a higher high, which would normally be expected if all moved up in general tandem.

- This failure to make a higher high indicates bearish institutional order flow, by comparing highs within the 5 AM to 9:30 AM window (a four-and-a-half-hour period).

- Remember, the 5 AM and 9:30 AM points are not always exact 'goal posts' for the highs/lows. You're looking at relative highs and lows across the spectrum of time within this window. For instance, a low could form at 7 AM and another at 9:30 AM, and they may diverge.

THE 5 AM TO 9:30 AM SMT KILLZONE AND SMART MONEY FOOTPRINT

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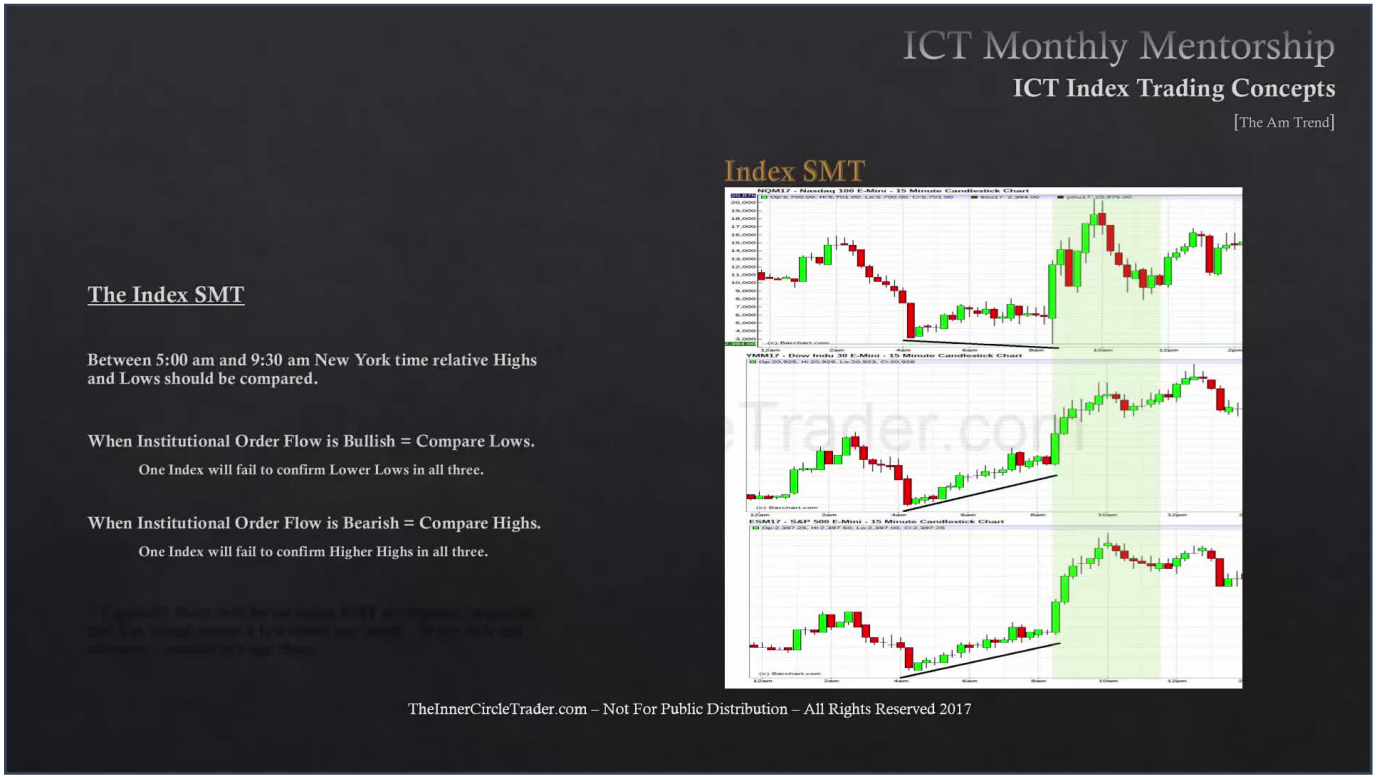


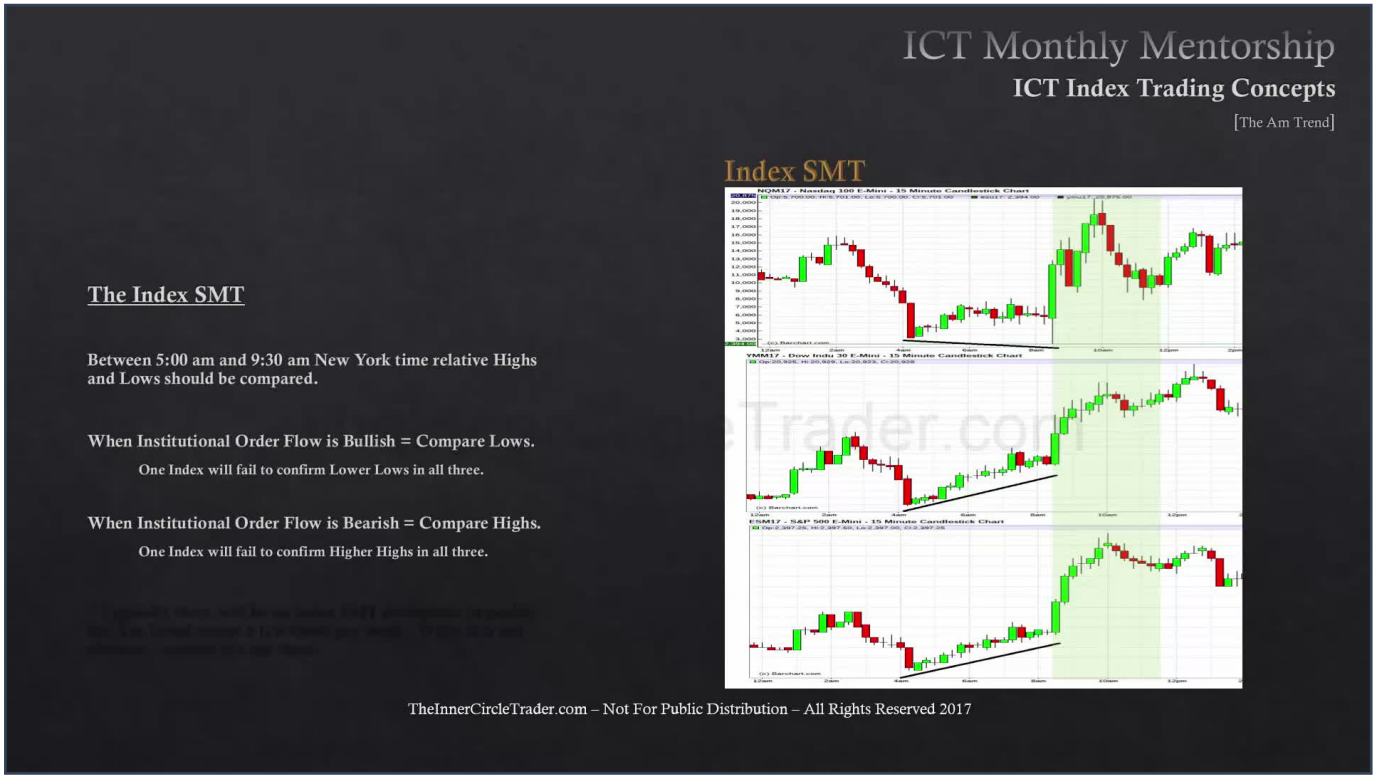
The 5 AM to 9:30 AM New York time frame is your 'Killzone' for scouting SMT divergences. During this four-and-a-half-hour window, you are constantly looking for these patterns.

- If the higher time frame daily bias is bullish, and we expect price to trade higher, we drop down to a four-hour or one-hour basis, looking for PDA arrays and evidence to support bullishness.

- The SMT acts as a filter: when institutional order flow is bullish, compare the lows. When price is overall bullish, we look for price to fail to make a lower low during a retracement.

- This footprint of smart money, by way of the Index SMT, is created by greed and the sheer size of their buying orders.

- Significant trading opportunities will always have this hallmark.



When institutional order flow is bearish, we look for comparable highs between 5 AM and 9:30 AM New York time.

- This may simply involve comparing a higher or lower high/low at 9:30 AM (equities open) or 8:30 AM Central.

- Do not think of 5 AM and 9:30 AM as rigid bookends where highs and lows must form. Instead, look for relative lows and highs to compare within this window.

- Studying a large sample size will reveal how these 'cracks in correlation' show up. When indices should move in tandem (e.g., all dropping lower), but one fails to confirm, that's your signal. This is essentially applying Dow theory, but with precise timing and a specific time window (5 AM to 9:30 AM).

RATIONALE FOR THE 5 AM START TIME AND ANTICIPATING TRADES

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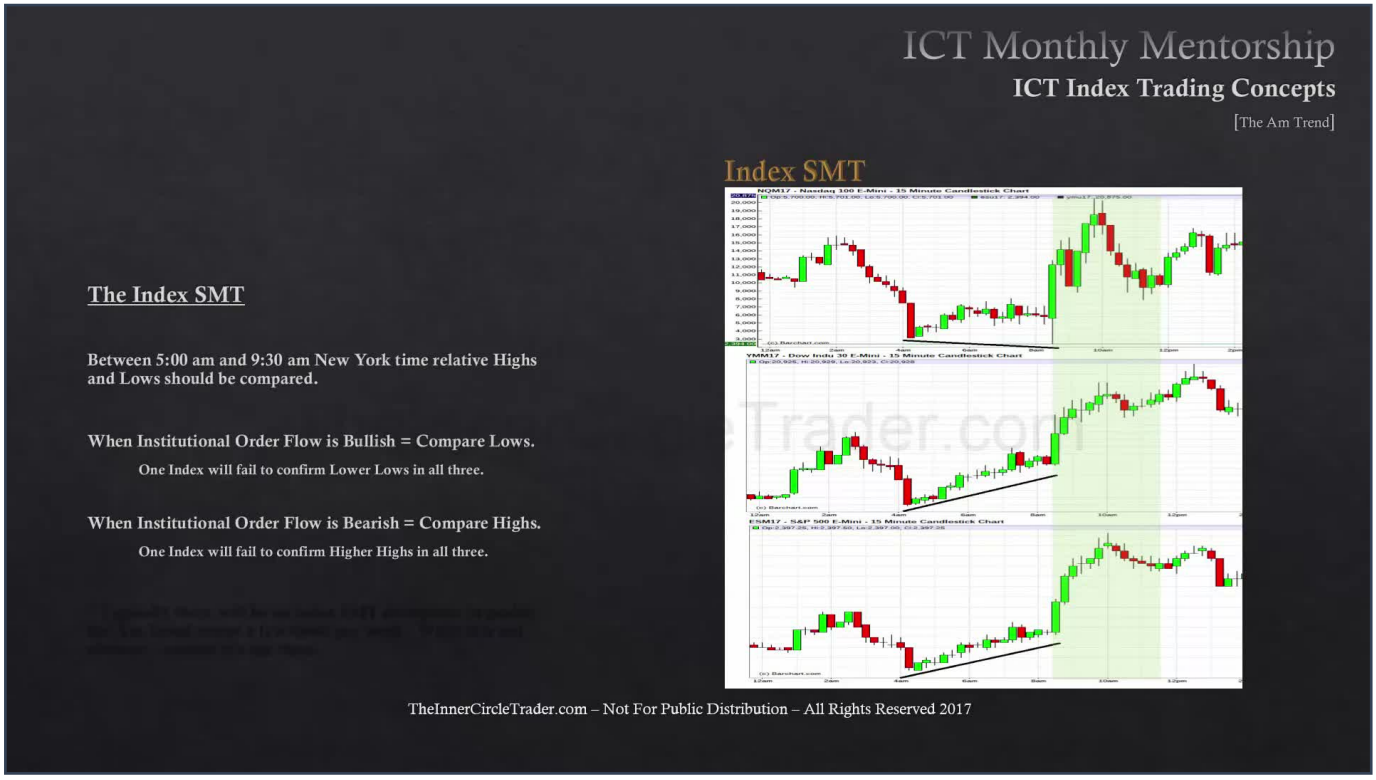


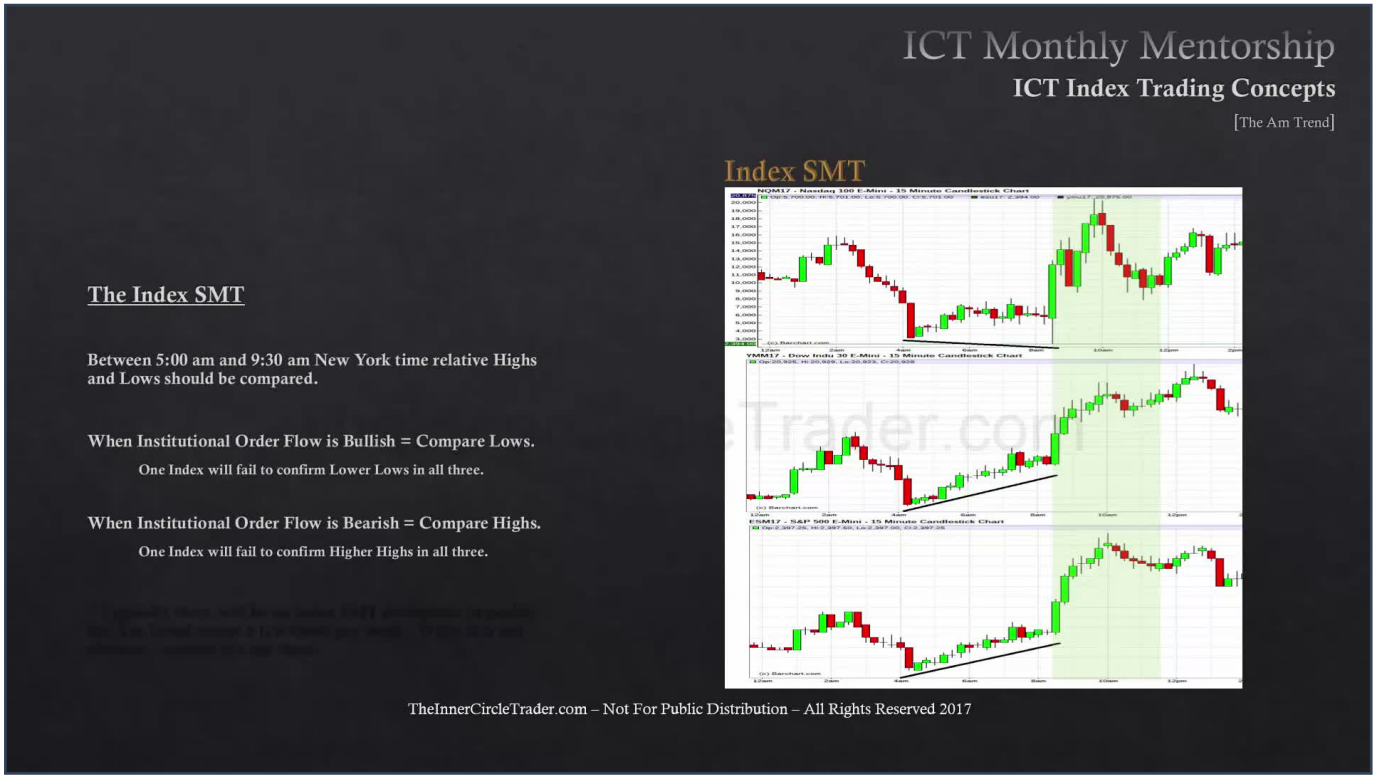
Why 5 AM? London traders typically begin their lunch break then and will return sometime between 5:30 AM and 6 AM New York time.

- We wait for the build-up of orders from UK/European traders who want to trade North American indices (NASDAQ, Dow, E-mini futures).

- Large flows will enter the market, creating the 'crack in correlation' when the market is truly not going lower (or higher, for bearish scenarios).

- For example, if you're trading NASDAQ and see a massive buildup at the lows on the Dow and S&P 500, you can be confident that a run under the 5 AM low on NASDAQ is a stop run (Turtle Soup).

- After that low is violated, NASDAQ futures quickly reprice higher.



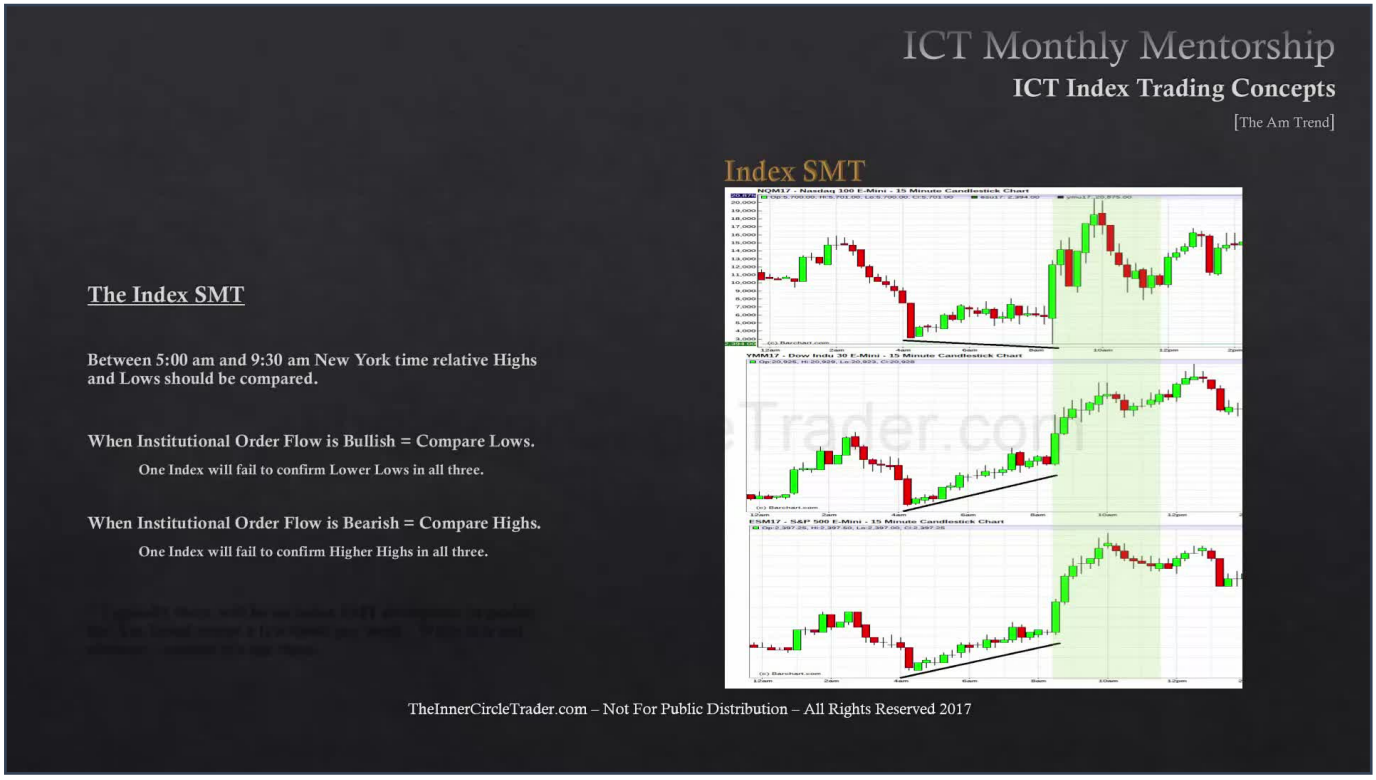
When institutional order flow is bullish (as in the SMT example with divergence), and price is expected to go higher, we look for expansion moves.

- Buying Strength: Look for opportunities to buy on a stop. Wait for price to trade up through an old high. Anticipate a breakout above down-closed candles, which later become bullish order blocks.

- Place a buy stop above the high of a down-closed candle as an entry technique.

- Buying Weakness (Turtle Soup): If an index trades below an old low, bucking the overall trend (two diverge or go higher, one goes down), identify that as a Turtle Soup.

- Buy below that old low, scooping up sell-side liquidity, confident that it's a stop run.



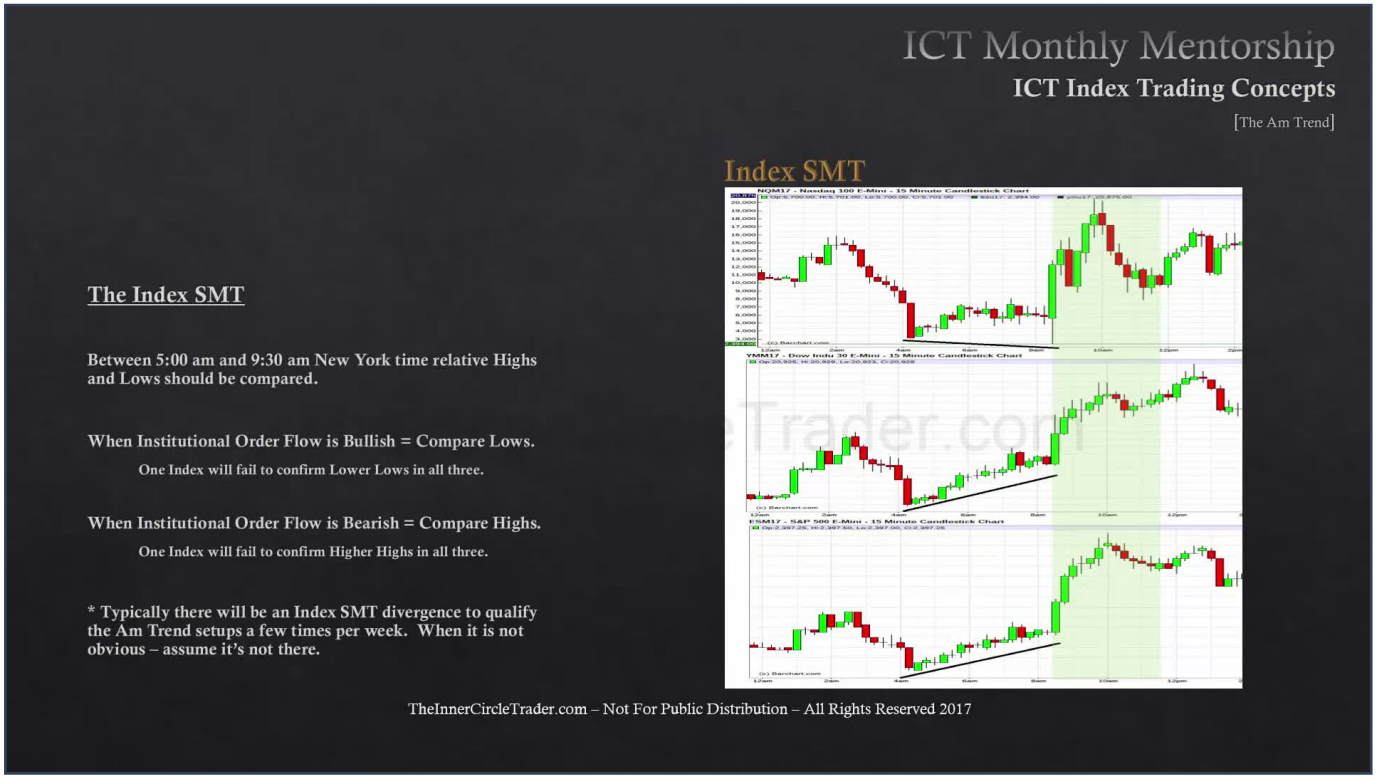
Both buying strength and buying weakness techniques are valid; one does not have an advantage over the other. All three indices will move in tandem once the setup takes place.

- An Index SMT Divergence to qualify AM Trend setups typically occurs a few times a week.

- Sometimes, it can happen every single trading day, though it may not always equate to a large opportunity with low risk.

- Look for these cracks in correlation, but don't 'strain your eye.' If it's not obvious, assume it's not there.

- You are looking for clear, classic patterns like the examples provided. When this happens live, it builds confidence in your analysis and anticipatory price skills, removing the fear of buying a Turtle Soup under an old low.



When two indices don't go lower, and one does, the one that goes lower is a Turtle Soup. You can confidently buy below that old low and expect a rapid reprice.

- The speed of the move is generally seen in the index that makes the lower low, as they want to quickly exit after stops are taken.

- The indices that diverge may show a more lethargic expansion, but all will move up.

- Speed generally correlates with the stop run, but it doesn't always equate to magnitude.

- We will continue to build on the AM Trend concept in upcoming lessons, including the PM Trend, time and price for indices, and the effects of the New York lunch hour.